

KEY TERMINOLOGY

ECONOMY



- Haircut
- Protectionism
- Bank Run
- Retrospective Tax
- Business Cycle

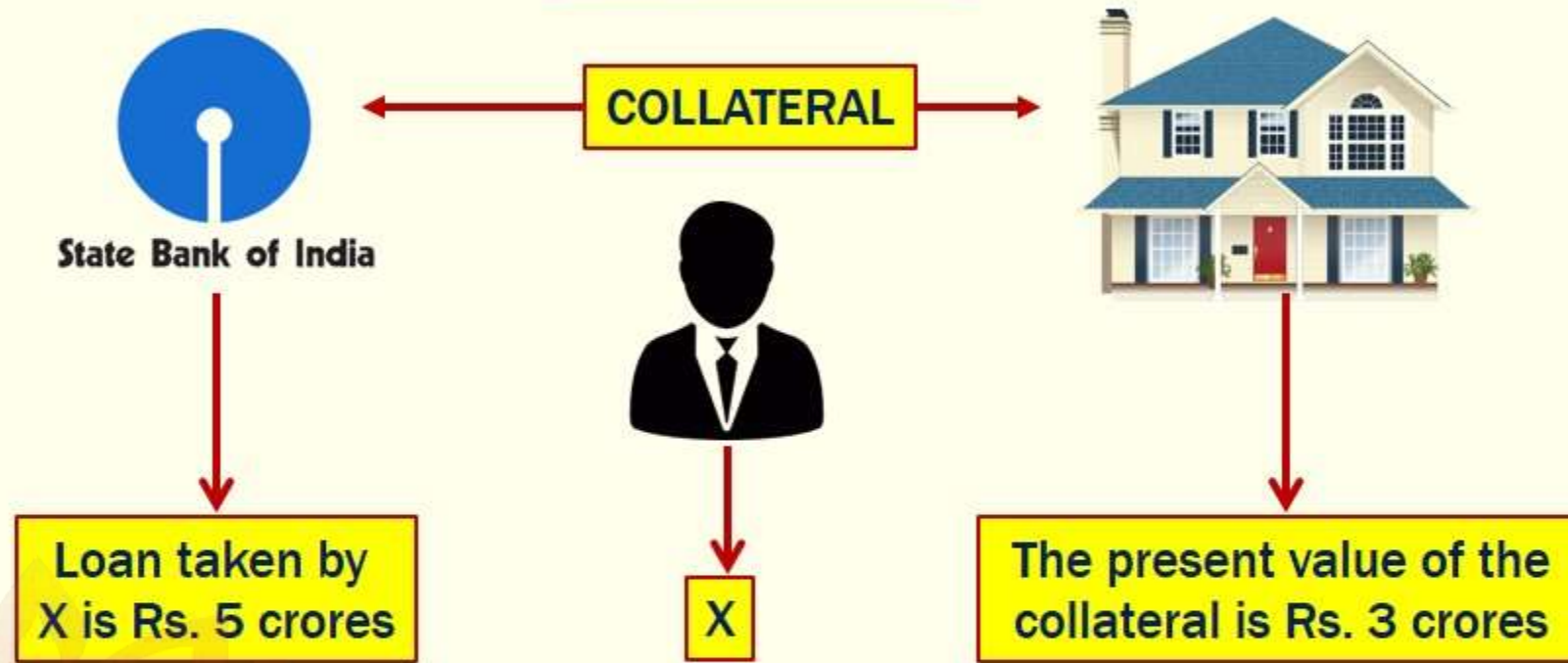
MODULE - 14

- Recession / Depression
- Overheating
- Soft Loans
- Sunrise Industry
- Structural Reforms

ECONOMY

HAIRCUT

EXAMPLE - 1



HAIRCUT

1. The hair cut is the difference between the loan amount and the actual value of the asset used as collateral.
2. In the context of loan recoveries, it is the difference between actual dues from a borrower and the amount he settles with the bank

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HAIRCUT

EXAMPLE - 2



Loan outstanding is Rs. 3,000 crores



Borrower can settle Rs. 1,000 crores

Here the haircut is Rs. 2,000 crores

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PROTECTIONISM



- It refers to Government actions and policies that restrict or restrain international trade.
- It is quite often done with an intention of protecting local businesses and jobs from foreign competition
- Typical methods includes tariffs and quotas on imports
- It also include subsidies or tax cuts granted to domestic businesses

Liberalization facilitated globalization, now protectionism opposes globalization

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BANK RUN



- Bank Run is typically the result of **panic** rather than true insolvency on the part of the bank
- It is the situation, when a **large number of customers** of a bank or financial institution withdraws their deposits simultaneously due to **panic**
- However, because of **more & more people withdrawing funds**, the panic sometimes may result in default in rare cases.

RETROSPECTIVE TAXATION



- The meaning of retrospective is directed towards the past era.
- This is one sort of dishonest practice
- When the law making body changes a particular law to come into effect from some previous date, this is known as retrospective law
- Suppose, a law was made on 1- 4- 2017 to have effect on all the transactions from 1- 4-2000, this is known as retrospective law.
- The issue of Vodafone / Cairn cases became controversial.
- India amended section 9 of the Income Tax Act to include tax on indirect transfer of assets in India by two non-residents to have retrospective effect

The opposite of retrospective is prospective, which means it is expected to happen specified thing at a future date

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RETROSPECTIVE TAXATION



vodafone



Energy for India

ECONOMY

RETROSPECTIVE TAXATION

RETROSPECTIVE TAXATION

↓

Applicable
from 1st May,
2010



←

Law passed
on 1st May,
2017

PROSPECTIVE TAXATION

↓

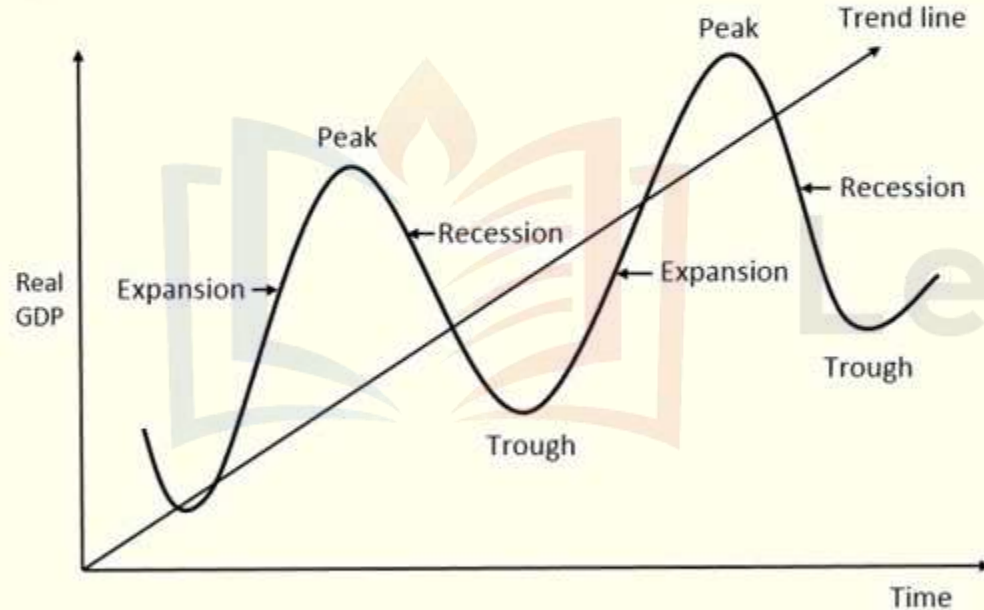
Applicable
from 1st July,
2017

→

ECONOMY

BUSINESS CYCLE

Graph 1



- Each business cycle has got 4 phases. They are **expansion**, **peak**, **contraction** and **trough**. They don't occur at **regular intervals**, but they have **recognizable indicators**
- Expansion is from **trough to peak**
- The contraction phase **starts at the peak and ends at the trough**
- Normally the expansion phase is longer than the contraction phase.

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RECESSION



- It is the period of general economic decline
- It is normally accompanied by drop in stock indices as well as increase in unemployment
- It also causes decline in housing market
- Normally it lasts longer than few months.
- The definition sometimes includes contraction in GDP for two consecutive quarters or longer

It is the period, when the economy of a country is not doing well and the conditions for business are bad.

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DEPRESSION

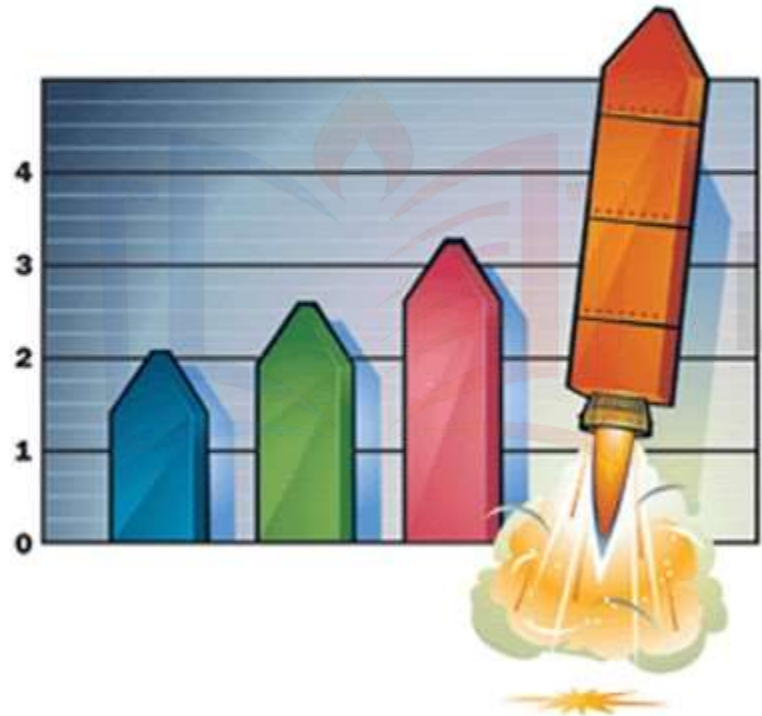


- A depression is sustained and severe recession.
- It is severe and prolonged downturn in economic activity.
- It is commonly defined as an extreme recession that lasts two or more years
- It is characterized by substantial increase in unemployment, bankruptcies and sometimes sovereign debt defaults

*A recession is normal part of business cycle lasting for period of some months.
A depression lasts for years, which is extreme falling economic activity*

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OVERHEATING OF ECONOMY



- It is **prolonged period of good economic growth** which causes **high levels of inflation**.
- The high levels of inflation may be **due to increased consumer wealth**.
- There may be a **tendency on the part of producers to over produce**, to cash in because of the booming economy.
- This creates **overcapacities and inefficient allocation of resources** takes place.
- Normally to **stem inflation**, Central Banks will **tighten the interest rates**.
- Because of **inefficiencies in the production system**, as well as **inflation**, it may sometimes **hurt economic growth** and may lead to **recession**.

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MULTINATIONAL CORPORATIONS (MNCs)

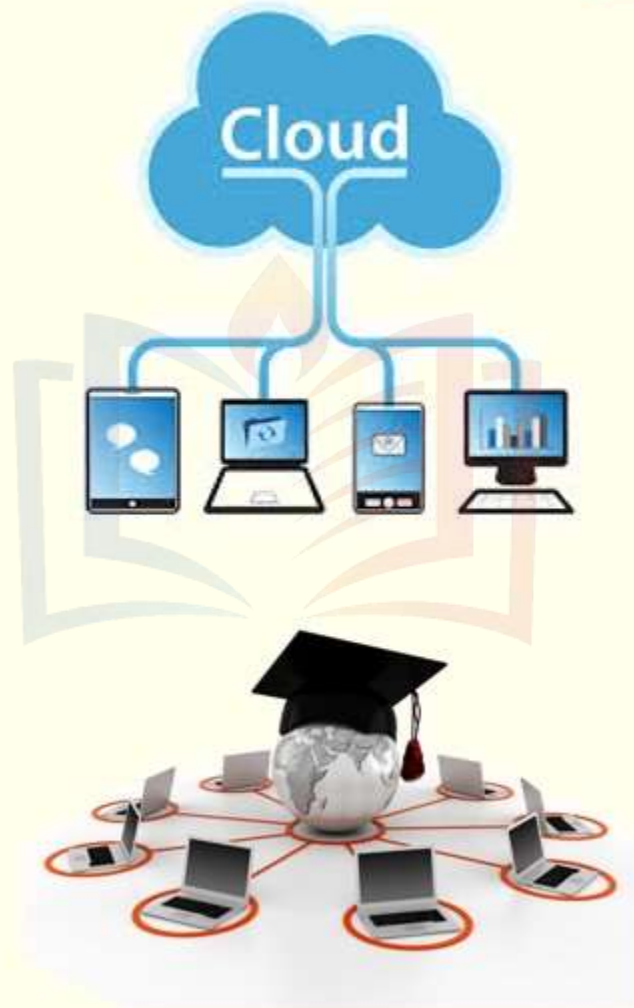


- They will have centralized headquarters in one country i.e. managed from one country.
- They will have offices/manufacturing facilities/assets in more than one country.
- Derives at least quarter of their revenue from operations outside their home country.



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SUNRISE INDUSTRY



- It is the sector or business in its infancy, but growing at a rapid pace / scope for growth at rapid pace.
- They normally have high growth rates, numerous startups.
- Normally, Venture Capital Funding is also available in abundance.

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SOFT LOANS



- Soft loan is the loan normally with no interest or below market rate of interest.
- They are normally the loans given by multilateral financial institutions like World Bank, ADB etc.
- They will also have lenient terms such as moratorium on repayment, extending the grace periods etc.
- IDA is the organ of World Bank, which is intended for giving soft loans to poorest of the poor countries across the world.

Sometimes countries like China also give soft loans but they are not that transparent, may be sometimes with some hidden agenda

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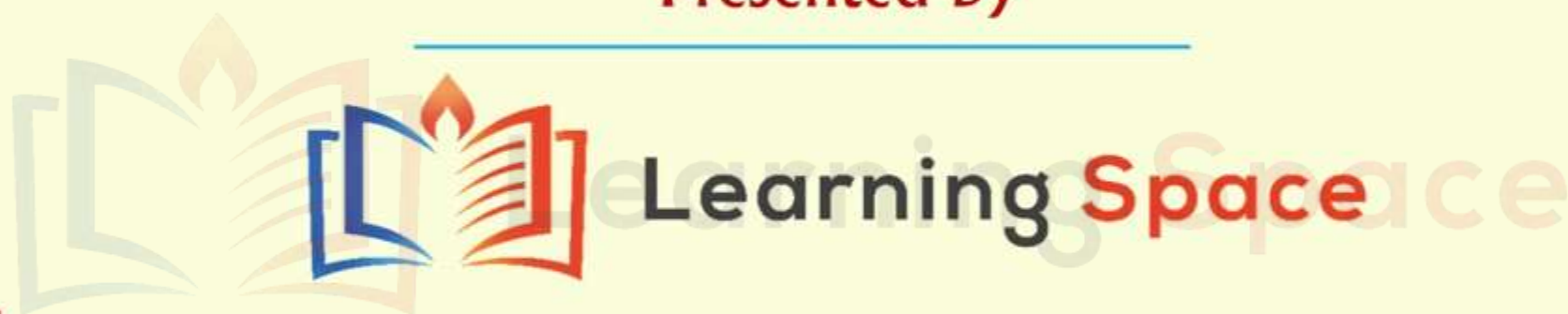
STRUCTURAL REFORMS IN THE ECONOMY



- These are the reforms to address long-term aspects of the economy like changes in legal system, tax reforms, land related issues, liberalization, deregulation etc.
- Structural reforms are aimed to improve the efficiency and competitiveness of the economy in the long-run.
- Fiscal stimulus is the short term measure and can not be classified as the policy under structural reforms.

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